

SECTION A – CASE QUESTIONS (TOTAL: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

CASE

Halo Motors Limited (the "Company") is a company listed on the Hong Kong Stock Exchange. The Company, together with its subsidiaries, (hereafter collectively known as the "Group") is the authorised dealer of a few European brands automobiles in mainland China.

The Group usually enters into a dealership agreement with each car manufacturer. The Group is granted the authorised dealership to sell specific brands or models of vehicles within mainland China. The Group is also responsible for the selling and marketing activities, and their related costs, and the provision of warranties and repair and maintenance services to the car owners.

The Group makes direct purchases of vehicles from the car manufacturers and resells them through its retail showrooms. Usually, the purchases are denominated in Euro or US dollars. The Group is responsible for the shipment costs and all the in-country storage costs.

Sales of vehicles are only authorised in mainland China. All sales are invoiced in Renminbi (RMB). Vehicle sales have a quick turnaround of cash because the buyers either settle in cash or apply for car loans so that the full amounts are settled by the banks within 7 days. Once sales are made, the Group transfers the legal titles of the vehicles to the buyers by registering on the government system. Accordingly, the Group does not have long outstanding trade receivables.

The functional currency of the Group is RMB. Exchange differences arising from transactions denominated in foreign currencies other than RMB are charged to the profit and loss account as exchange differences for that year.

CPA Limited is the auditor of the Company and is engaged in performing the audit of the Company's consolidated financial statements for the year ended 30 June 2022. Bob is one of the engagement managers and supervises 5 audit staff to work on the account balances of "Inventories" and "Provisions and accruals". Bob is responsible for reporting his work to Alice Ma, the engagement senior manager.

Below are the management schedules prepared by the Group's accounts department relating to "Inventories" and "Provisions and accruals" which are extracted from the sub-ledgers:

I. Inventories

	30 June 2022			30 June 2021		
	<u>Unit cost</u>	<u>Quantity</u>	<u>RMB'000</u>	<u>Unit cost</u>	<u>Quantity</u>	<u>RMB'000</u>
	(RMB)		(Unaudited)	(RMB)		(Audited)
Model A	745,000	125	93,125	720,000	100	72,000
Model B	895,000	135	120,825	810,000	76	61,560
Model C	677,000	130	88,010	550,000	80	44,000
Model D	569,000	40	22,760	650,000	100	65,000
Model E	950,000	20	19,000	950,000	25	23,750
Parts and accessories			15,000			12,000
Gross balance			358,720			278,310
Less: provision for net realisable value and obsolescence			(3,000)			-
Net balance			355,720			278,310

According to the Group's accounting policies, inventories are stated at the lower of cost and net realisable value. Costs of inventories are determined using the first-in, first-out method. Net realisable value represents the estimated selling price for inventories less all estimated costs of completion and costs necessary to make the sale. Costs necessary to make the sale include incremental costs directly attributable to the sale and non-incremental costs which the Group must incur to make the sale.

As at the reporting date, provision for net realisable value amounting to RMB3 million was made, which was related to Model E. Due to keen competition in the market, the selling price of Model E dropped significantly during the year. The provision for net realisable value was calculated based on its selling price as of the year-end date.

II. Provisions and accruals

	30 June 2022	30 June 2021
	<u>RMB'000</u>	<u>RMB'000</u>
	(Unaudited)	(Audited)
(i) Provision for warranties	23,000	23,400
(ii) Provision for penalties	30,000	-
(iii) Accrued selling and marketing expenses	12,000	11,500
(iv) Accrued sales incentives	14,000	9,000
Total	79,000	43,900

- (i) Provision for warranties – The Group provides 3-year warranties for car owners. Each year, the Group charges provision for warranties to the profit and loss account based on management estimation with a formula of "Average historical claim rate for the past 5 years x annual sales". When actual warranty claims are made by customers, the provision balance will be deducted and indicated as "claims during the year" in the movement below:

	2022 RMB'000 (Unaudited)	2021 RMB'000 (Audited)
Balance at 1 July	23,400	19,000
Claims during the year	(20,100)	(5,600)
Provision for the year	<u>19,700</u>	<u>10,000</u>
Balance at 30 June	<u>23,000</u>	<u>23,400</u>
Claim rates for the last five years		
2022	1.20%	-
2021	0.60%	0.60%
2020	0.55%	0.55%
2019	0.53%	0.53%
2018	0.52%	0.52%
2017	<u>N/A</u>	<u>0.45%</u>
Average claim rate	<u>0.68%</u>	<u>0.53%</u>

- (ii) Provision for penalties – As continuous loss from the sale of Model E had incurred, the Group's management decided to terminate its dealership agreement with the car manufacturer early. According to the dealership agreement which originally would have expired on 30 June 2025, any party which terminates the agreement early is required to pay a penalty of RMB25 million per year to the other party for the remaining period (i.e., 3 years) unless the parties agree otherwise. During the year, the management started negotiations with the car manufacturer for an overall settlement amount of the penalties at RMB30 million. However, as of yet, the Group has not obtained agreement from the car manufacturer.
- (iii) Accrued selling and marketing expenses – This represents the costs incurred for selling and marketing activities conducted before the year-end date but not yet paid. Subsequent to the year-end date, all these unpaid selling and marketing expenses have been paid.
- (iv) Accrued sales incentives – This represents the accrual for sales incentives payable to the salesmen. As part of the bonus system, salesmen who can meet the sales quantity targets of certain car models can obtain a bonus equivalent to 1-to-3 months of his/her monthly salary.

Question 1 (12 marks – approximately 22 minutes)

Propose substantive tests of details for the valuation assertion of the Group's inventories, including the provision for net realisable value and obsolescence.

(12 marks)

Question 2 (16 marks – approximately 28 minutes)

Evaluate the risk of material misstatements for each of the following provisions and accruals of the Group. Present your answer by ranking the risk based on your assessment in the order from the highest to lowest risk. Correct ranking will score 2 marks.

- Provision for warranties
- Provision for penalties
- Accrued selling and marketing expenses
- Accrued sales incentives

(16 marks)

Question 3 (12 marks – approximately 22 minutes)

Subsequent to the year-end date, when the audit team circularised bank confirmation to confirm the Group's loan receivable balances as at 30 June 2022, the bank replied that certain balances were not recorded in the bank system; hence, those items are not included in their bank statement.

This incident was reported to the Group's management. After an internal investigation, the management discovered that a senior sales manager misappropriated the funds from the Group by falsifying car loan agreements. The senior sales manager collected the cash received from 23 buyers (i.e., from 23 transactions), then produced fake car loan documents to the accounts department. The Group recognised these transactions as sales and transferred the legal car titles to these buyers. However, there was a long outstanding trade receivables due from the bank.

Out of these 23 transactions, 18 vehicles were recorded as sales in May 2022, which amounted to RMB21 million and which fall under the financial year ended 30 June 2022. The other 5 vehicles were recorded as sales in July 2022, which amounted to RMB5.5 million and which fall under the financial year ending 30 June 2023.

Required:

Advise on the audit procedures to be taken when the audit team becomes aware of this matter.

(12 marks)

Question 4 (10 marks – approximately 18 minutes)

The sign-off of the auditor's report is scheduled to occur in a week. You are Bob, the engagement manager, and you just realised that your wife bought 2,000 shares of Halo Motors Limited two days ago.

Required:

Prepare a memo to report this matter to the engagement senior manager, Alice Ma, and the engagement partner, Elaine Lee. Evaluate the independence threat and propose safeguards, if necessary.

Note: A maximum of 2 marks for communication skill and 2 marks for analytical skill will be awarded.
(10 marks)

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End of Section A

SECTION B – ESSAY / SHORT QUESTIONS (TOTAL: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

Question 5 (11 marks – approximately 20 minutes)

- (a) With reference to the responsibilities of the Audit Committee as set out in the Corporate Governance Code to the Hong Kong Listing Rules, explain why the Audit Committee should play a key role in setting up and monitoring the whistle-blower system of a Hong Kong listed company.

(4 marks)

- (b) ABC Limited is a listed company in Hong Kong. The board of directors of ABC Limited is considering setting up a whistle-blower system. The Chief Executive Officer ("CEO"), who is also the executive director of ABC Limited, proposes that matters or allegations reported through the whistle-blower system could be directed to him for investigation and follow up. He could report the matters and allegations reported and the investigation findings to the board of directors on a regular basis.

Required:

Evaluate the effectiveness of the proposal suggested by the CEO and propose recommendations on improving the CEO's proposal, if any.

(7 marks)

Question 6 (8 marks – approximately 14 minutes)

Statement 1: As a person within the company has been identified as having "super user" access to the company's sales system during the IT general controls ("ITGCs") test, the ITGCs of the sales system are ineffective. The auditor should therefore adopt a fully substantive audit approach on testing sales of the company.

(4 marks)

Statement 2: Since the sales report is directly generated from the sales and accounting system, and substantive testing procedures performed during the pre-final audit have determined that the sales report is accurate and complete, to place reliance on the sales report during the final audit, whether the auditor to perform test on ITGCs of the sales and accounting system is irrelevant.

(4 marks)

Required:

Advise on whether you agree with the statements. Explain your rationale with regard to each statement.

Question 7 (21 marks – approximately 38 minutes)

- (a) DEF Limited ("DEF") is a Hong Kong incorporated company. Its principal activities are manufacturing and trading of electronic toys. DEF is very profitable and accumulates abundant cash. The management of DEF therefore keeps looking for investment opportunities with the aim of bringing additional return to the shareholders of DEF.

The management of DEF has decided to invest in cryptocurrencies and has made two related investments for the year ended 30 June 2022:

Investment A:

- In August 2021, DEF bought 10,000 units of a listed investment fund at a consideration of HK\$10 million.
- The fund with asset under management ("AUM") exceeds US\$1.5 billion investing in Bitcoin and Ethereum.
- The fund is audited by a registered public accountant with the Public Company Accounting Oversight Board ("PCAOB").
- DEF bought the fund online through its investment account opened at one of its principal banks. Monthly statements are available from the bank.
- As of 30 June 2022, Investment A carries at HK\$20 million in DEF's management accounts.

Investment B:

- In February 2022, DEF made an investment of HK\$10 million in a private equity fund operated in Singapore, representing 18% equity interest of the fund.
- DEF, as a limited partner of the fund, does not participate in the operation and investment decisions of the fund.
- The fund invests in many less popular and infrequently traded coins and tokens with market quotes that may not be available. The investments made by the fund are consistent with the investment strategy and scope as written in the fund documents.
- The fund is newly set up in January 2022. There are currently no audited financial statements available.
- On a quarterly basis, the fund administrator (a well-known asset manager and fund administrator in the industry) sends a statement to DEF reporting changes within the asset portfolio of the fund in the period, the assets held by the fund, and the fair values of the fund at the quarter end.
- As of 30 June 2022, Investment B carries at HK\$20 million in DEF's management accounts.

Both investments are accounted for as financial assets at fair value through profit and loss in the financial statements of DEF.

The total assets of DEF as of 30 June 2022 approximated HK\$1.2 billion and the profit before tax of DEF for the year then ended approximated HK\$180 million.

Yu & Co, the auditor of DEF, has determined that the overall materiality of the 2022 audit is HK\$18 million.

Required:

Based on the facts provided above, evaluate the risk of material misstatements of both investments in terms of existence and valuation to the financial statements of DEF Limited.

(10 marks)

(b) Drawing on the facts set out in Question 7(a), in relation to Investment B, during the course of audit:

- The fund confirmed that there will be no audit carried out by an independent auditor on the fund's financial statements from its date of inception to 30 June 2022 before the date of the auditor's report of DEF Limited's financial statements for the year ended 30 June 2022.
- Through the coordination of DEF Limited, the fund administrator has provided Yu & Co details of coins and tokens held by the fund and the fund administrator's estimates of fair values of each type of coin and token at year end. However, the fund administrator refused to provide further information (e.g., valuation methodology, assumptions, and inputs used in the valuation) on how each type of coin and token is valued.
- Yu & Co attempted to perform alternative audit procedures on assessing the valuation of the coins and tokens. Given most of the coins and tokens held by the fund have no available market quotes, Yu & Co concluded that there are no available alternative audit procedures that could be performed on the valuation of DEF's investment in the fund.

Apart from the above, the audit of DEF Limited's financial statements for the year ended 30 June 2022 is substantially completed and no other audit findings are noted for follow up.

Required:

Assume you are the engagement partner of this audit,

(i) Propose and explain the appropriate type of auditor's opinion for DEF Limited's financial statements for the year ended 30 June 2022.

(5 marks)

(ii) Prepare "Basis for Opinion" paragraph in the auditor's report for DEF Limited's financial statements for the year ended 30 June 2022.

(6 marks)

Question 8 (10 marks – approximately 18 minutes)

XYZ Limited ("XYZ") is a Hong Kong incorporated start-up company. Its principal activities are the development of a block chain ecosystem and applications. XYZ generates no revenue and is still at the early stage of designing and developing the infrastructure of its own chain.

C&C Limited ("C&C") is a venture capital. In September 2021, XYZ launched its pre-series A funding. C&C subscribed to a 20% equity interest in XYZ at a consideration of HK\$35 million. XYZ has become an associate company of C&C and has been initially recognised at cost in C&C's financial statements.

C&C's financial year end is 30 June 2022. Lee & Co is the auditor of C&C. Lee & Co has determined that the overall materiality of the 2022 audit is HK\$10 million.

In August 2022, in the regular business update meeting held between XYZ and C&C, management of XYZ reassured C&C that their business development is progressing well, but the actual losses incurred by XYZ is slightly more than the budget.

Management of C&C obtained from XYZ the latest forecast and engaged an external valuer to assist them in assessing the fair value of XYZ as at 30 June 2022 for their impairment assessment of C&C's investment in XYZ.

C&C concluded that the fair value of its investment in XYZ as at 30 June 2022 still approximated HK\$35 million after considering the business updates provided by XYZ and reviewing the valuation results prepared by the external valuer, and therefore no impairment of its investment in XYZ is recognised for the year ended 30 June 2022.

Lee & Co during the audit planning has assessed and concluded that the risk of material misstatements in relation to the valuation of C&C's investment in XYZ is high.

Required:

Propose audit procedures to address the risk of material misstatements in relation to the valuation of C&C's investment in XYZ.

(10 marks)

* * * END OF EXAMINATION PAPER * * *